

The Rich Report

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U.S. Economics News:

- **April CPI:** Headline CPI rose 0.6% in April, pushing the year-over-year rate to a three-year high of 3.8%, driven largely by energy prices surging 3.8% following the Iran conflict's impact on oil markets. Core CPI came in at 0.4%, above expectations, with rents posting their biggest monthly increase in over two years at 0.5%, while real wages fell 0.5% on the month.³
- **April PPI:** Producer prices jumped 1.4% in April — the fastest pace in over four years and well above the 0.5% consensus — with energy up 7.8% including a 15.6% gasoline surge tied to the Iran conflict. Notably, more than half the monthly increase came from services, and intermediate unprocessed goods prices are up 20.9% year-over-year, signaling broad pipeline pressure.³
- **S&P Earnings Beat:** Q1 2026 saw 84% of S&P 500 companies beat earnings estimates, the highest rate in the dataset and above the 5-year average of 78%, with blended year-over-year EPS growth of 27.7% — the strongest since Q4 2021. Reported earnings exceeded estimates by 18.2% on average, nearly triple the 5-year norm of 7.3%, driven by IT, Communication Services, and Materials sectors.³
- **Earnings Estimates:** Full-year 2026 S&P 500 EPS estimates climbed from 311.15 at year-end to 333.21 by May 8, implying 21.4% year-over-year growth, while Q2 2026 estimates project even stronger gains — 26.4%, 23.9%, and 42.4% for large-, mid-, and small-cap indices respectively — suggesting analysts see the earnings momentum as durable rather than a one-quarter anomaly.³
- **Unemployment Nuance:** The official U-3 unemployment rate stood at 4.3% in April, but the broader U-6 measure — which includes discouraged workers and involuntary part-timers — was 8.2%, reflecting labor market complexity. The labor force participation rate has fallen to 61.8%, near its lowest since the late 1970s outside of COVID, largely due to Baby Boomer retirements, while the prime-age employment-to-population ratio remains elevated at 80.7%.³
- **Industrial Production:** April industrial output rose 0.7%, more than double the 0.3% consensus, with high-tech equipment up 1.0% for the month and 9.2% year-over-year — the fastest 12-month growth of any major category — fueled by AI investment and semiconductor reshoring. Business equipment manufacturing rose 1.5% and is up 6.0% annually, pointing to a broader reindustrialization trend even as mining slipped 0.1%.³



Digital Assets News:

- **Volatility Rising:** Bitcoin's 30-day implied volatility index surged to 42% — its highest level in months — as institutional traders on Deribit executed substantial block trades in both calls and puts, suggesting sophisticated market participants are hedging against or speculating on an imminent sharp price dislocation, without consensus on which direction that move will ultimately take.⁵
- **Clarity Act Text:** The Senate Banking Committee released the complete 309-page Clarity Act legislative text on May 12, giving lawmakers and industry stakeholders limited time to review the sweeping crypto market structure bill before its scheduled Thursday markup hearing — the formal process where committee members propose amendments and advance legislation toward a full Senate floor vote.⁵
- **Tokenized Treasuries Hit All-Time High:** Tokenized U.S. Treasuries on Ethereum surged to a record \$8 billion — doubling within just six months — as institutional investors increasingly migrate traditional fixed-income assets onto public blockchains. The milestone reflects growing demand for on-chain yield-bearing instruments, with asset managers like BlackRock and Franklin Templeton driving adoption through regulated, blockchain-native Treasury fund products.⁵
- **CME Vol Futures:** CME Group is set to launch Bitcoin volatility futures on June 1, pending CFTC approval, allowing traders to speculate directly on the magnitude of BTC price swings rather than price direction. Modeled after equity VIX futures, the contracts will reference the CME CF Bitcoin Volatility Index (BVOL), giving institutions a standardized tool to hedge crypto volatility exposure or take speculative positions.⁵



Geopolitics News:

- **China:** President Trump arrived in Beijing with Nvidia CEO Jensen Huang and Elon Musk for a high-stakes summit with Xi Jinping. Trump asked Xi to "open up" China to U.S. business, particularly for Nvidia's H200 AI chips. He was welcomed by a military honor guard and flag-waving students. The visit marks the first by a U.S. president to China in nearly a decade.¹
- **Cuba:** President Trump said Cuba was asking for help and announced upcoming talks, providing no details. Trump previously threatened Cuba was "next" after U.S. forces seized Venezuela's leader. His administration has imposed a fuel blockade, curtailed travel and remittances, and pressured regional allies to drop Cuban doctor contracts. China has called on Washington to end its embargo on Havana.¹
- **Iran:** The IRGC permitted over 30 ships, including Chinese vessels, to transit the Strait of Hormuz after weeks of effective blockade. The passage followed agreement on Iran's strait management protocols. Vessels linked to "enemy states" remain blocked. The move coincided with Trump's China visit, where he said Xi promised to help reopen Hormuz and not arm Iran. China buys roughly 90% of Iranian oil.¹
- **Israel:** Israel escalated attacks on Gaza by 35% since pausing its Iran air campaign on April 8, according to ACLED. The Gaza Health Ministry reported 120 Palestinians killed in five weeks, a 20% increase. Four Israeli defense officials told Reuters Hamas has been tightening its grip and rebuilding forces. The escalation undermines Trump's plan to halt the war and begin reconstruction.¹
- **Pakistan:** Peace mediator Pakistan shared a revised Iranian proposal with the U.S. to end the war, warning the sides "don't have much time." Iran confirmed views were conveyed through Pakistan. Trump said the ceasefire is "on life support." Washington wants Iran to dismantle its nuclear program and lift the Hormuz blockade; Iran demands compensation, an end to U.S. port blockade, and a regional fighting halt.¹
- **Taiwan:** Trump said he made no commitment to Xi over Taiwan and would soon decide on a planned \$14 billion arms package, calling it "a very good negotiating chip." He said Xi "feels very strongly" and "does not want to see a fight for independence." Trump said he would consult Taiwan's leader. The U.S. previously approved a record \$11 billion arms package in December.¹
- **United Arab Emirates:** The UAE has been carrying out undisclosed military strikes on Iran, including an April attack on a refinery on Iran's Lavan Island that knocked out much of the facility's capacity for months. Iran responded with missile and drone strikes against the UAE and Kuwait. The U.S. has quietly welcomed Gulf state participation. The Foreign Ministry declined comment but cited its right to military response.¹



The Good News:

- **Productivity Miracle:** After a decade of near-stagnant growth following the 2008 financial crisis, U.S. productivity has surged to its fastest pace in roughly 20 years — averaging 2% annual growth, double the 2010s rate. The Federal Reserve has revised its long-run GDP forecast upward in response, and Fed Chair Jerome Powell called the sustained gains unprecedented in his experience.²
- **Autonomous Trucking:** A structural economic analysis finds that widespread self-driving truck adoption could dramatically reshape U.S. interstate trade, with some states seeing trade value increases equivalent to over 40% of GDP. Industries like motorized vehicles, mixed freight, and electronics stand to gain most, along with low-value, heavy goods where shipping costs currently eat deepest into margins.²
- **Energy Records:** The U.S. set its fourth consecutive annual energy production record in 2025, reaching 107 quadrillion BTUs — a 3.4% increase. Natural gas, crude oil, and renewables all hit individual records simultaneously, with solar and wind capacity continuing to expand while the U.S. retained its position as the world's largest producer of both oil and natural gas.²
- **Water From Air:** A Nobel Prize-winning chemist's startup, Atoco, has built a commercial prototype that extracts up to 4,000 liters of drinking water daily directly from the atmosphere using metal-organic frameworks — nanoscale structures that trap moisture in microscopic cavities. The technology targets data centers and hospitals, with an off-grid solar-powered version designed for water-scarce communities currently relying on costly water trucking.²



Dividend Portfolio News:

- **GD:** General Dynamics' land systems unit won a \$229.65M Army contract for 50 Stryker A1 armored vehicles, adding to a steady stream of defense procurement wins as the U.S. military continues modernization spending.⁴
- **LMT:** A busy week for Lockheed — the company declared a \$3.45/share dividend, won a \$991M F-35 electronic warfare upgrade order, a \$212M PATRIOT logistics contract, and Israel selected Elbit (partnering with LMT's F-35 platform) for a range-extension upgrade. Analysts at Citi flagged the defense selloff as a buying opportunity, and the proposed Golden Dome missile shield — potentially exceeding \$1.2T — is a significant long-term demand catalyst.⁴
- **NEE:** NextEra confirmed a landmark ~\$67B merger with Dominion Energy to create the world's largest regulated electric utility, with AI data center power demand cited as a key strategic driver. The deal drew significant investor attention and positions NEE as a dominant player in the accelerating U.S. power infrastructure buildout.⁴
- **ORI:** Old Republic declared a \$0.315/share quarterly dividend, consistent with its long track record of dividend payments.⁴
- **PCAR:** Autonomous trucking reached commercial deployment this week, a meaningful milestone for the freight industry and relevant to PACCAR's long-term competitive positioning, even as the broader freight market remains under pressure.⁴
- **VLO:** The House passed year-round nationwide sales of higher-ethanol (E15) gasoline, a modest positive for refining economics. Separately, Treasury Secretary Bessent's comments about potential Strait of Hormuz reopening could ease crude supply concerns relevant to refining margins.⁴



Growth Portfolio News

- **AEM:** Agnico Eagle announced a \$10B investment plan in its Ontario mines by 2030, signaling major long-term production expansion. Separately, John Paulson's fund initiated a position in Agnico in Q1, adding institutional buying interest to a stock already backed by significant capital commitment.⁴
- **ATAT:** Atour Lifestyle Holdings reported Q1 2026 GAAP EPS of \$0.48, beating estimates by \$0.08, with revenue of \$408M beating by \$14.5M. The company also declared a \$0.18 dividend, reflecting continued profitability and shareholder return commitment in China's hospitality recovery.⁴
- **CWAN:** Starboard Value added Clearwater Analytics to its portfolio in Q1, representing notable new institutional interest in the fintech/insurance software name.⁴
- **FTNT:** Fortinet was flagged in coverage around quantum computing as a future cybersecurity threat, with some companies including Fortinet already positioning for post-quantum encryption preparedness — a longer-term but emerging investment thesis.⁴
- **SYF:** Synchrony Financial was highlighted as one of the better-ranked interest-rate-sensitive stocks on Seeking Alpha's Quant system as Treasury yields climb — relevant given its consumer credit business model.⁴
- **TOL:** Toll Brothers named a new President and COO, a leadership transition worth monitoring as the homebuilder navigates a rate-sensitive housing market.⁴
- **TSM:** TSMC approved a \$20B capex increase for its Arizona fab. The company forecast the global chip market reaching \$1.5T by 2030 and announced it will sell 8.1% of Vanguard International's stock. Trump's comments on Taiwan and geopolitical Taiwan Strait risk dominated investor concern. Cathie Wood sold TSM shares while Eminence Capital added to its position.⁴

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Summary:

In regard to the United States Economy, April inflation came in hotter than expected with headline CPI hitting a three-year high of 3.8% year-over-year and producer prices jumping 1.4% in a single month, the fastest pace in over four years, with Iran-conflict energy spikes accounting for much of the move. Corporate earnings remained robust, however, as 84% of S&P 500 companies beat Q1 estimates with EPS growth of 27.7% — the strongest since late 2021. Industrial production rose 0.7%, more than double consensus, with high-tech equipment leading the gains.

In the world of digital assets, Bitcoin's implied volatility surged to 42% as institutional traders positioned for a sharp directional move, while tokenized U.S. Treasuries on Ethereum doubled in six months to a record eight billion dollars. Regulatory momentum continued as the Senate Banking Committee released the 309-page Clarity Act ahead of its markup hearing, and CME Group plans to launch Bitcoin volatility futures on June 1 pending CFTC approval, giving institutions a standardized tool to hedge crypto exposure.

Recently around the globe, fallout from the Iran conflict dominated headlines as oil markets absorbed strikes on UAE infrastructure and Israel managed continued regional spillover. President Trump and President Xi also held a high-stakes summit in Beijing focused on trade and Taiwan.

For the good news, U.S. productivity has surged to its fastest pace in roughly twenty years, averaging 2% annual growth and prompting the Federal Reserve to revise its long-run forecast upward. Energy production hit a fourth consecutive record at 107 quadrillion BTUs, autonomous trucking reached commercial deployment with the potential to dramatically reshape interstate trade, and a Nobel laureate's startup unveiled technology extracting up to 4,000 liters of drinking water daily from atmospheric humidity.

In the news for the dividend portfolio, NextEra Energy confirmed a landmark sixty-seven billion dollar merger with Dominion to create the world's largest regulated electric utility, with AI data center demand cited as the strategic driver. Lockheed Martin had an exceptional week as the proposed Golden Dome missile shield, potentially exceeding 1.2 trillion dollars, emerged as a major long-term catalyst, while General Dynamics won another Stryker contract and Valero benefited from House passage of year-round E15 gasoline.

And, for the growth portfolio, Taiwan Semiconductor approved a twenty billion dollar capex increase for its Arizona facility while navigating renewed Taiwan Strait geopolitical risk, and Agnico Eagle committed ten billion dollars to expanding Ontario mine production through 2030. Atour Lifestyle Holdings handily beat Q1 estimates, Starboard Value disclosed a new Clearwater Analytics position, and Toll Brothers named a new President and COO as the homebuilder navigates rate-sensitive markets.

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Resources:

1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
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